

The Coca-Cola Company

NYSE: KO | Consumer Staples — Beverages | 28 July 2026

HOLD Fair value: ~\$86 | CMP: \$87 (28-Jul-2026) | Total return: +1% (price –1% / 2.4% yield)

Investment Summary

Coca-Cola remains the archetypal quality defensive: an asset-light, brand-and-distribution machine that converts pricing power into steady mid-single-digit organic growth and expanding margins. Q2 FY2026 (reported 28 July) beat on both lines — comparable EPS of \$0.97 versus \$0.93 expected, revenue of \$13.4bn (+7%) — and management raised full-year guidance again. The market rewarded it: the stock jumped ~3.5% to a fresh all-time high near \$87. The dividend, a 64-year growth streak, yields ~2.4%.

This is not a growth story; it is a compounding-and-income story, and the debate is entirely about price. At ~27x forward earnings KO trades at a clear premium to PepsiCo and well above the beverage-industry average — a premium its superior margins, cleaner focus and steadier volumes have long deserved, but a premium nonetheless.

We move to HOLD (from ACCUMULATE). Nothing has weakened in the business — if anything Q2 strengthened it — but the stock has now run past our multi-method fair value of ~\$86 to a record high. Price return is slightly negative from here and the ~2.4% yield leaves total return around +1%: the quality is no longer on sale. We would build again on a pullback toward the high-\$70s, and let the dividend pay us to wait.

Snapshot

Metric	Value	Note
Market cap	~\$362 billion	Dividend King, 64 yrs of hikes
FY2025 revenue	\$47.9bn (+2%; organic +5%)	Price/mix-led
FY2025 EPS / margin	\$3.04 (+23%) / 28.7% op	Comparable op margin ~31%
Valuation / yield	~27x fwd P/E / ~2.4% yield	vs PEP 17.5x / 4.2%, MDLZ 30x
Dividend	\$2.12/share, growing	Payout well covered

Q2 FY2026 Results Review

In Q2 FY2026 Coca-Cola grew net revenues ~7% to \$13.4bn, ahead of the ~\$13.17bn consensus, with organic growth again led by price/mix — the familiar Coca-Cola pattern of pricing doing the heavy lifting while unit-case volumes stay subdued, softest among value-conscious lower-income consumers in North America and Europe. Comparable EPS of \$0.97 beat the \$0.93 consensus on concentrate strength and pricing, and management raised its full-year organic-revenue and comparable-EPS guidance. Currency, historically a reported-growth headwind, has turned to a modest tailwind. A clean, high-quality quarter — the question was never the business.

Valuation

We value KO on a multi-method blend, dividend-first given the 64-year increase streak. At ~27x forward earnings it is priced as the premium name in staples — a deserved premium over PepsiCo on higher margins and steadier volumes — but at a record high that premium now leaves little room. Applying ~27x to FY2026E EPS near \$3.22 gives ~\$87.

A DDM and an EV/EBITDA cross-check bracket that figure, and a conservative DCF on KO's stable ~\$10–11bn free cash flow sets a much lower floor. The blended fair value is ~\$86 — essentially today's price. Illustrative outputs; see the model.

Multi-method triangulation. As a dividend King (64 years of increases), we value KO dividend-first: a Gordon DDM (Ke 7.25%, 5% growth) implies ~\$99; a peer-informed 27x forward P/E ~\$87; EV/EBITDA at 24x ~\$78; and a conservative DCF floor ~\$59. Weighting the DDM 40% (P/E 25%, EV/EBITDA 20%, DCF 15%), the blended fair value is ~\$86, about 1% below the \$87 price. Rating on a total-return basis (price + yield): HOLD. A caveat that matters: the DDM's 5% perpetual growth is already generous for a low-volume-growth staple — haircut it to 4.5% and fair value falls below \$80, so the risk here is skewed to the downside. Our ~\$86 sits just under the Street's ~\$88 average target, consistent with a fully-valued call.

Key Risks

- Currency translation — the majority of profit is earned outside the US.
- GLP-1 weight-loss drugs as a potential long-run headwind to sugary-beverage volumes.
- Volume softness in developed markets; reliance on price/mix.
- Regulation and taxes on sugar-sweetened beverages.
- Premium multiple leaves limited margin for a growth or margin stumble.

Company Overview

The Coca-Cola Company is the world's largest non-alcoholic beverage company, owning a portfolio of 200+ brands spanning sparkling soft drinks, water, sports and energy drinks, juice, coffee and tea. Its asset-light model — concentrate sales plus a global bottling network — produces high margins, strong returns on capital and one of the most reliable dividend-growth records in the market.

Disclaimer

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